ANNUAL REPORT AND FINANCIAL STATEMENTS 2006

NSE

NAIROBI STOCK EXCHANGE

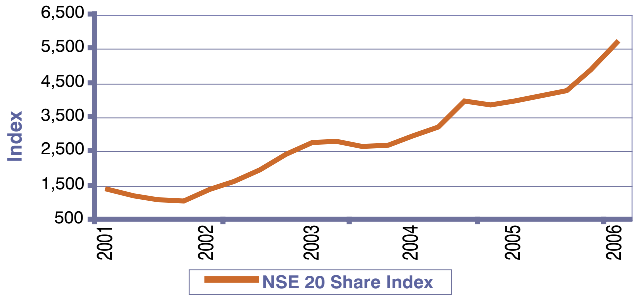
Vision
"To be a leading securities exchange in the world"

Mission
"To provide a world class trading facility for wealth creation"

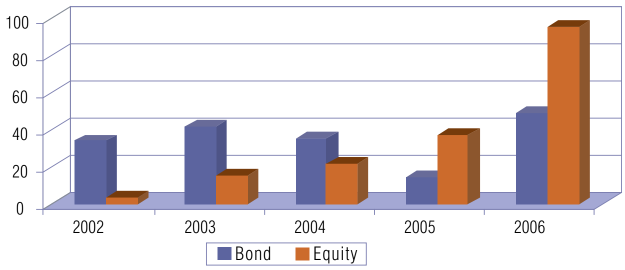
Core values
Efficiency, Innovation, Integrity, Confidentiality & Relationships

Highlight of Market Statistics

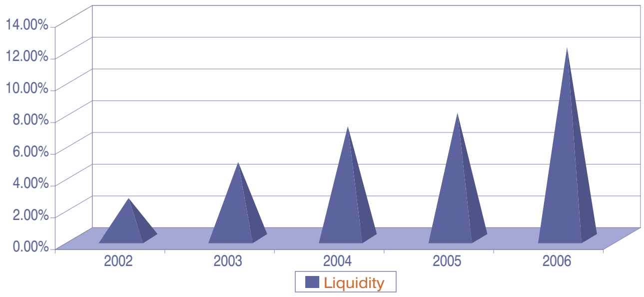
NSE 20 SHARE INDEX



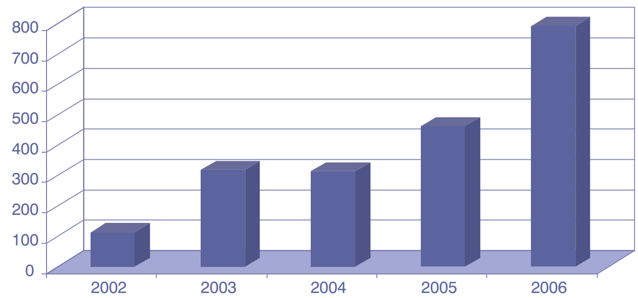
TURNOVER (KSHS BN)



MARKET LIQUIDITY

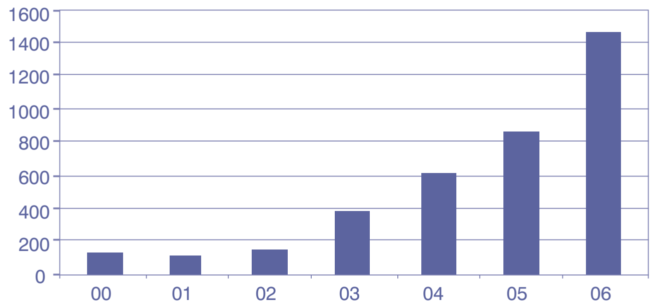


MARKET CAPITALIZATION - EQUITY (KSHS BN)



MARKET CAPITALISATION - BONDS (KSHS BN)

NO. OF SHARES TRADED (MN)



5-YEAR SUMMARY ON MARKET PERFORMANCE

	2006	2005	2004	2003	2002
NSE Index	5,646	3,973	2,946	2,738	1,363
Market Capitalisation (Shs'000)					
Equity Capitalisation	791,580,000	462,520,000	314,150,000	317,890,000	112,500,000
Bond book value	251,469,000	225,375,000	190,217,000	186,902,000	139,034,000
Total Market capitalisation	1,043,049,000	687,895,000	504,367,000	504,792,000	251,534,000
Market Turnover (Shs'000)					
Equity turnover	95,696,254	36,606,290	22,321,055	15,251,146	2,883,779
Bond turnover	48,574,860	13,590,497	34,553,410	41,985,460	33,728,500
Total Market Turnover	144,271,114	50,196,787	56,874,465	57,236,606	36,612,279

Contents

The Chairman's Statement

Jimnah Mbaru

It gives me great pleasure to present the Annual Report and Financial Statements of the Nairobi Stock Exchange for the year ended December 31 2006. 2006 was indeed a tremendous year for the Exchange with many new developments and initiatives shaping the destiny of our capital markets.

INTRODUCTION

It gives me great pleasure to present the Annual Report and Financial Statements of the Nairobi Stock Exchange for the year ended December 31 2006. 2006 was indeed a tremendous year for the Exchange with many new developments and initiatives shaping the destiny of our capital markets.

In 2006, the Kenyan economy continued to perform well with Gross Domestic Product estimated to have grown in excess of 6.0 percent. This growth was driven by stable macroeconomic policies and low stable interest rates. Good performance was recorded in the agricultural, horticultural, manufacturing, telecommunications, construction and the tourism sectors. Core inflation remained within the Central Bank of Kenya's target.

Short term interest rates edged downwards in 2006, whilst yields in the medium to long term issues were generally stable. A high level of liquidity in the money market is underpinning financial market strength and demand for debt instruments continues. Positive economic sentiments, strong foreign capital inflows, increased private credit demand and low interest rates supported the bull-run in the equity market.

SECONDARY MARKET PERFORMANCE

Key Market Indicators

On the back of the excellent economic performance the Exchange had yet another record breaking year. In the period under review, the NSE turnover between January and December 2006 increased by 160 percent from Kshs 36.5billion to Kshs 95 billion. Volumes also grew from 874 million to 1.45 billion shares exchanged over the twelve months. In terms of size, Market Capitalization rose 71.23 percent and increased from Kshs 463 billion in 2005 to Kshs 792 billion in 2006. The NSE 20 Share Index gained 42 percent to rise to an all time high of 5645.65 points at the end of the year.

NSE continued to play its role in mobilizing resources for long-term debt as total traded Bonds Turnover in the secondary market increased from Kshs 13.6 billion in December 2005 to Kshs 48.6 billion in 2006.

PRIMARY MARKET PERFORMANCE

Initial Public Offers (IPOs)

2006 was also the year of the IPO (Initial Public Offering). After a drought in new listings of almost 4 years the Exchange hosted 3 IPOs, one introduction to the official list and a secondary offering during the year. The IPOs of the Kenya Electricity Generating Company (through a Government privatization), Scangroup, and Eveready Batteries East Africa, the introduction of Equity Bank to the official list and the secondary offering from Mumias Sugar Company all served to create an unprecedented increase in public awareness of equity as an investment asset class. These four public offers which were all massively oversubscribed raised an estimated Kshs 14.45 billion. However it is instructive to note that Kshs 26.6 billion was refunded to disappointed investors highlighting the high liquidity in our financial system during 2006. As such we strongly believe that the market has amply demonstrated that it will be able to absorb the upcoming Kenya Reinsurance Corporation IPO, the Kenya Electricity Generating Company secondary offer and the eagerly awaited Safaricom Ltd IPO.

Primary Bonds Issued

Notwithstanding activity in the equity market, the Government of Kenya raised an additional Kshs 76 billion, through the issuance and subsequent listing of 21 Treasury Bonds on the Fixed Income Securities Market Segment (FISMS). The primary bond market remained vibrant over the year with a performance rate of 157 percent as the amount received totalled Kshs 119 billion. This affirms the existence of a lot of liquidity in the money market during the year that in turn spilled over to the stock market. The year also saw the introduction of 2 long-term fixed coupon discounted bonds with a maturity of 11 and 12 years respectively worth about Kshs 4 billion each.

STOCK EXCHANGE INFRASTRUCTURE

In 2006 the Exchange became the first securities market in East and Central Africa to fully automate its clearing, settlement and trading systems with the switch to the

Automated Trading System (ATS) on September 11th 2006. The implementation of the ATS greatly enhanced the Exchange's trading capacity and this is demonstrated by the record breaking October 4 2006 trading session, when for the first time, trading turnover exceeded the Kshs 1.0 billion mark.

DEMUTUALIZATION

Our demutualization programme is on course and it is our desire to have this completed in 2008. The transformation from a members' association into a for-profit corporation and the segregation of ownership and trading rights of the members of the exchange will result in the Nairobi Stock Exchange becoming more inclusive and improve corporate governance.

NAIROBI STOCK EXCHANGE FINANCIAL CENTER

We are deeply committed to the objective of creating a premium regional financial centre for East and Central Africa. In 2007, the Exchange shall institute plans for a Kshs 500.0 million building to house the Stock Exchange and serve as a regional centre for capital markets intermediaries engaged in the business of stock broking, investment banking, trust and fund management and other financial services. It also complements our objective of enhancing the brand and value of the NSE before its conversion into a public company and listing on the Exchange in 2008 after a successful demutualization. A budget allocation of Kshs 40.0 million has been made for immediate acquisition of a plot for this purpose.

STANDBY CENTRAL DEPOSITORY AND SETTLEMENT SYSTEM

In order to enhance the surveillance and compliance function of the Stock Exchange and to increase the potential of the Exchange to earn revenues from data vending, the NSE is in the process of procuring a standby Central Depository System, which shall be wholly owned by the Exchange. Towards this purpose, the NSE has made a budgetary allocation of Kshs 30.0 million. The CDS shall also hold securities for the proposed Over the Counter (OTC) Market.

CROSS BORDER LISTING

The Nairobi Stock Exchange realises that regional capital markets can facilitate economic development by providing deeper pools of capital and a broader range of listed securities. The November 27 2006 signing of a Memorandum of Understanding (MoU) on Cross border Listing between the NSE and the USE facilitates the establishment of a mutually agreed process for the cross listing of blue chip companies on our respective exchanges, the simplification of the cross listing process and trading of cross listed securities. We have since initiated discussions on the merger of the NSE and the USE to create a regional stock exchange with trading floors situated in Kampala and Nairobi.

CORPORATE SOCIAL RESPONSIBILITY

The Nairobi Stock Exchange believes that social responsibility is an integral part of the wealth creation process - which if managed properly should enhance the competitiveness of business and maximize the value of wealth creation to society.

In a bid to manage our corporate social responsibility programme in a more sustainable and proactive manner, the Board of the Exchange successfully launched the Nairobi Stock Exchange (NSE) Christmas Tree Fund in December 2006. The Exchange expects that the Tree Fund will be an annual event, through which the Board, Management and Staff of the Exchange together with its Members, will look to give to those members of our society who are not as fortunate as us. As the core business of the Exchange is facilitating the smooth functioning of capital markets, the funds and donations in kind mobilized by ourselves and our business associates shall be presented to the Kenya Red Cross Society - who we believe are best placed to identify the most needy and channel the proceeds of the funds drive to where they will have the most positive impact. In 2006, we raised Kshs 500,000 to be donated to the Red Cross for onward transmission to selected charitable organizations.

VISIT BY THE HEAD OF STATE

His Excellency the President and Commander in Chief of the

Armed Forces of the Republic of Kenya, Hon. Mwai Kibaki, showed his great commitment to the development of our capital markets by personally officiating at the commissioning of the Automated Trading System (ATS) on October 25th 2006. Following the commissioning, the NSE and other capital markets players and intermediaries hosted a well attended luncheon in honour of His Excellency at the Norfolk Hotel.

FINANCIAL PERFORMANCE

The Exchange made a surplus after tax of Kshs 100.65 million, a 291.68 percent increase over the prior year performance of Kshs 25.70 million. The stellar financial performance underscores the Exchange's use of information technology to deliver efficiencies, improve access, provide scalability, and increase overall profitability.

THE FUTURE OUTLOOK

The market has a strong absorptive capacity in raising medium to long-term capital for the economy and as such is ready to take up more and more IPOs and listings going forward. The infrastructure is well enhanced and adequate. With Safaricom and other upcoming IPOs, NSE demutualization and cross-border listings, the future of NSE looks very very bright.

APPRECIATION

Finally, I wish to thank the Members of the Board, Management and Staff of the NSE, our listed companies, investors in securities listed on the Nairobi Stock Exchange, all market intermediaries, the Capital Markets Authority and the Government of Kenya, for the support given to me as Chairman in 2006.

JIMNAH MBARU
CHAIRMAN
NAIROBI STOCK EXCHANGE

Board of Directors

Left to right (standing): R. Mambo, Patrick N. Gakiavi, Chris Mwebesa, David M. Njoroge, Ndung'u Gathinji, Esther J. Koimet, Jackson Githaka, Edward O. Odundo

Left to right (sitting): James Wangunyu, Jimnah Mbaru, Patrick N. Njerenga

Statement of the Chief Executive

Chris Mwebesa

On behalf of the staff and management of the Nairobi Stock Exchange, I am pleased to present a brief of the operational and financial performance of the Nairobi Stock Exchange (NSE) for the year ending December 31 2006.

EXCHANGE PERFORMANCE

Market Developments and Trading Statistics

Buoyed by 5 new equity listings, and the implementation of the Automated Trading System (ATS) on September 11th 2006, equity turnover in 2006 increased 159.98 percent over the prior year record of Kshs. 36.52 billion to a new record of Kshs. 94.95 billion.

43.82 percent of the value of 2006 equity turnover took place after the automation. The volume of shares traded for the year, rose by 66.40 per cent from 874.2 million to 1,454.67 million. The corresponding number of deals increased 239.01 per cent from 176,483 to 598,301.

Bond turnover underpinned by stable medium to long term interest rates and ample liquidity in the financial system, registered an impressive 257.42 percent increase over the prior year figure of Kshs. 13.59 billion to Kshs. 48.58 billion.

Financial Performance

As a result of the robust trading activity mentioned above the Exchange's operating income surged to Kshs. 295.41 million, a 101.91 per cent increase over the prior year record of Kshs. 146.31 million. Operating income from annual, application and additional, and initial listing fees rose by 15.76 per cent from Kshs. 56.83 million to Kshs. 65.79 million; and contributed 22.27 per cent of operating income compared to 38.9 per cent in the prior period.

It is important to note that biggest rise in these fees was the initial listing fees which rose 80.33 per cent from Kshs. 8.15 million to Kshs. 14.7 million as a result of the new listings we hosted in 2006. Revenues from initial listing fees were 0.017 per cent of the Kshs. 84.44 billion raised from new equity sales and the listing of new government paper. The NSE besides striving to position itself as an affordable platform for local and regional companies to raise medium to long term capital, shall also promote the intangible benefits of listing – sharing of risk by anchor shareholders, provision of liquidity to the listed security and an enhanced public profile for the issuer.

It is instructive to note that one of our new listings - Equity Bank, partly attributed their ability to attract new business which contributed immensely to their record results for the year ending December 31 2006, to the increased visibility of their brand from listing on the NSE.

The Exchange charges a transaction levy of 0.12 per cent of the value of securities traded at the Exchange. The liquidity boost from the implementation of the automated trading system had a positive effect on our bottom line. Gross income from the transaction levy increased by 157.55 per cent to Kshs. 228.44 million and at 77.33 per cent was the largest component of our gross income (2005: 60.62 per cent). Administration expenses increased at a slower pace of 60.51 per cent to Kshs. 167.91 million as a result of prudent cost containment measures employed by the management team.

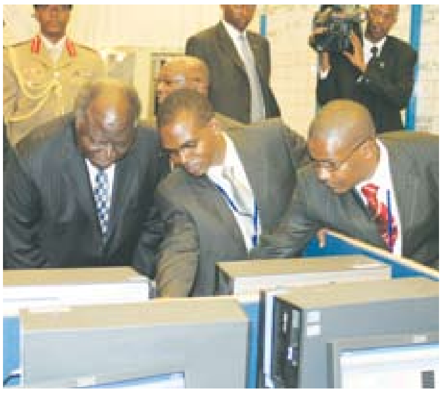
The Exchange surplus after tax for 2006 surged to Kshs. 100.65 million, a 291.68 per cent increase over the prior year record of Kshs. 25.70 million. This figure includes the Exchange's share in the profits of our associate company, the Central Depository and Settlement Corporation Ltd. (CDSC).

MARKET SURVEILLANCE AND COMPLIANCE

The Nairobi Stock Exchange has taken a multi-pronged approach to market surveillance and compliance.

Our new automated trading system allows our Surveillance Department to monitor the live trading session electronically. Any abnormal trading activity is investigated. The Capital Markets Authority has a separate, independent compliance system which also monitors the live trading session. Automation has therefore boosted the enforceability of the provisions of the Capital Markets Act on insider trading. However, systems alone are not an effective deterrent against corporate malfeasance.

We, together with the Capital Markets Authority and the Institute of Certified Public



Accountants of Kenya (ICPAK) are the promoters of the annual Excellence in Financial Reporting (FiRe) Award. The Award which celebrated its fifth anniversary in 2006, recognizes corporate entities in the public and private sectors that excel in financial reporting, corporate governance, corporate social responsibility and environmental reporting. The Exchange firmly believes that the principles the Award seeks to promote should be the goal of all business enterprises. It is gratifying to note that about 50% of the companies that participate in the Fire Award are listed entities constituting over 80% of all listed companies.

MARKET ACTIVITIES

An informed investor is a market's best friend. The Nairobi Stock Exchange together with the CDSC and the Capital Markets Authority sponsored a Financial Institutions Stand at the September 2006 Mombasa International Agricultural Society of Kenya (ASK) Show grounds. The purpose of the Stand was to disseminate information on how to invest in listed securities, the rights of the investor and the role of the partner organisations in facilitating the process. The partners were joined by five member firms of the Stock Exchange and two fund managers. The success of the exhibit and the public interest generated enabled us to win the trophy for the "Best Financial Institution Stand". In October 2006, we and our partners sponsored a similar stand at the 2006 Nairobi International Trade Fair; Kenya's largest agricultural trade fair.

In 2006, we also facilitated over ninety educational seminars at the Exchange, catering to secondary and tertiary institutions, professional bodies and institutional investors. Some notable attendees were the National Defence College (Karen), and the United Nations Joint Staff Pension Board. The diversity of our client base highlights the local and international visibility of our Exchange. Investor education stokes demand for investment opportunities.

In order to assure a continuous supply of product, the NSE held four issuer workshops targeting private sector and state corporations in the tourism; information communication technology; agro processing and infrastructure sectors.

The objective of the issuer workshops was to dispel misperceptions about the process of listing on the Exchange, highlight the accessibility of Kenya's capital markets to state and private firms, the flexibility we offer in terms of the type of long term capital a firm can raise and the fiscal incentives that the Government of Kenya has granted over the years. In 2007, we expect more local private firms, similar to Scangroup, to come to the market to issue capital to fund local and regional expansion.

The NSE has also since reconfigured and re-launched its website in order to leverage on the digital medium to provide up to date information. Key features of the site include market information from the trading floor updated immediately after the trading session and updates of company announcements and news as they occur.

FUTURE OUTLOOK

In 2007, we shall leverage on our new found capabilities and respond to the market demand for more information to roll out information products and simultaneously diversify our revenue streams. We are also aware that shared technological platforms can increase operational efficiencies. Millennium Information Technologies (MIT) who supplied the NSE Central Depository System (CDS) and Automated Trading System (ATS) have completed a similar installation at the Dar-es-Salaam Stock Exchange and are also installing the Uganda Securities Exchange CDS and ATS. It has therefore made it viable for a shared IT platform between our respective exchanges, which will support cross border operations.

APPRECIATION

On behalf of the Management and Staff of the Exchange, I would like to thank the Board of Directors for its guidance, the management and staff for their hard work, and our clients and service providers for their continued support and loyalty.

MR. CHRIS MWEBESA
CHIEF EXECUTIVE
NAIROBI STOCK EXCHANGE

Management Team

Left to right (standing): D.Wainaina (Mgr, Trading), C.Njoroge (Head of Trading), A. Wachira (Mgr, Compliance), J. Mwaniki (Mgr, IT), R. Mambo (Head of Compliance & CS)

Left to right (sitting): F. Ndegwa (Head of Business Development), C. Mwebesa (Chief Executive), K. Kandie (Head of Finance & Administration)

Summary of Operations

TRADING PERFORMANCE

Activity at the stock market as been spurred by renewed investor sentiments, strong economic growth as well as high liquidity in money markets. Based on the gathered statistics, 2006 was a phenomenal year for NSE. The highest trading activity was recorded in the history of the NSE.

EQUITY MARKET

The NSE 20 Share Index rose by 42.10 percent to 5,645.65 on December 29th 2005 from 3,973.04 on December 31 2005. Comparing 2006 to 2005, market capitalization moved to Kshs 791.91 billion from Kshs 462.52, an increase of 71.22 percent. Turnover increased by 159.99 percent to Kshs 94.95 billion from Kshs 36.52 billion. The number of shares traded increased by 66.40 percent to 1,454.67 million from 874.20 million.

BOND MARKET

The Bond market recorded improved turnover of Kshs 48.57 billion, compared to Kshs 13.59 billion recorded in 2005, an increase of 257.40 percent.

AUTOMATION

The Automated Trading System (ATS) went live on September 11th 2006 and Continuous Open Outcry Trading System was abolished the same day. His Excellency, Mwai Kibaki, The president of Kenya, officially commissioned the ATS on October 25 2006. With the introduction of ATS, NSE trading hours increased from 2 to 3 hours (10.00 am – 1.00 pm).

The ATS has increased trading activities at the market since its day of inception. For instance, on October 4th 2006, the NSE recorded equity turnover of Kshs 1.06 billion, the highest in NSE's history to be recorded per day.

With the Automated Trading System and delivery and settlement system (CDS) in place, our market has the capacity to absorb larger issues. This will enable the Government and the private sector to tap the capital markets to raise funds for development.

PROMOTION STRATEGY

The strategic marketing plan 2006-2008 was conceptualized to catalyse key corporate objectives of the NSE, market competitive profile, swot analysis and strategically drive our Mission, Vision and Values. In view of these, specific business and CSR programs were designed and executed in a phased three year cycle.

PUBLIC EDUCATION & AWARENESS

2006 was an awesome publicity and public awareness year for the exchange. Following the effective launch of the government divestiture program and private company IPO's, the NSE enjoyed unprecedented media coverage and top of the mind public awareness. The number of CDS account holders rose from 70,000 to 600,000 during the year.

In collaboration with CMA and CDSC, NSE participated at Nairobi and Mombasa ASK show and organized the first Investment Exhibition in Nairobi. The joint campaign hosted other market intermediaries such as Stock brokers, Investment Banks and Fund Managers. At Mombasa show, the Partnership won a prize for being the 1st Best Financial Stand. The objective of participating in such events is to deepen public awareness and confidence in the stock market.

REGIONAL INTEGRATION PROGRAM

On November 27 2006, NSE and USE entered into an agreement to allow cross-listing between the two exchanges. The respective exchanges realized that regional co-operation can facilitate the development and effective operation of securities market by providing deeper pools of capital, a broader range of investable securities and leveraging on information technology to increase operational efficiencies. Cross border listings and transactions will also facilitate further growth and development of the regional securities markets.

The MOU signing was a significant milestone of the East African Securities Exchanges (EASEA) regional integration program. The EASEA program commenced in Nairobi – Kenya on 16th February 2006, with the hosting of a cross listing forum to brainstorm and obtain buy-in of the concept by the key regional stakeholders.

NEW LISTINGS

Four companies were listed during the year under review. KenGen Limited -Listed 659 shares on May 17th 2006. KenGen's IPO was heavily oversubscribed and has provided additional impetus for other IPO's which together with anticipated future profitability would attract a lot of interest hopefully this year.

Equity Bank Limited listed 90 million shares on August 7th 2006 through Introduction. The Bank was listed at the stock market without raising any capital hence benefiting from the 2006/07 fiscal incentives regarding firms listing by private treaty.

Under this arrangement, the government made legal and incidental costs incurred by firms listing without raising additional capital are income tax deductible. Equity Bank limited was the first company in NSE's history to list through an Introduction.

Scangroup Limited Listed 69 million shares on August 29th 2006, while Eveready East Africa Limited listed 63 million on December 18th 2006. Initial Public Offer of KenGen, Eveready East Africa, and Scangroup were oversubscribed reflecting the strong public confidence in the stock market. With anticipated continued economic growth, we anticipate more listings in the year 2007 and in future.

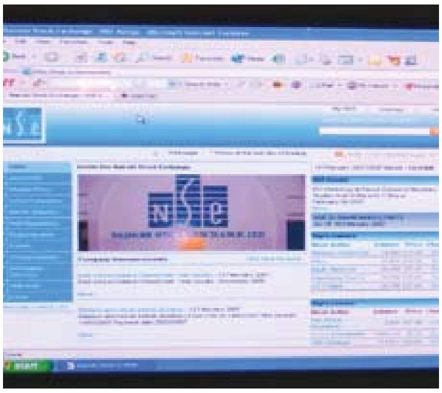
POTENTIAL LISTINGS CAMPAIGN

To further enhance the supply side of the market, an education campaign targeted at potential issuers was formulated and executed. The target issuers were drawn from four leading sectors of the economy namely; Tourism, ICT, Agribusiness and Infrastructure. We hosted four comprehensive seminars in partnership with sector liaison organizations and leaders. We facilitated networking of potential issuers with market intermediaries for further follow up.

NEW WEBSITE

The NSE website *www.nse.co.ke* was re-designed.

The new site is clean and simple. It is easily navigable



and attractively presented. It communicates information on all aspects of the market in an interesting and digestible way. It is envisaged to be a dynamic and flexible interface with all our stakeholders.

NSE MAGAZINE GOES REGIONAL

To commemorate the NSE Golden Jubilee in 2004, the NSE launched a magazine **"The Exchange".** The magazine has since grown in stature, the design; editorial; production and distribution have been enhanced to world-class.

The magazine has been nominated to become the official regional stock market journal by EASEA (East African Stock Exchanges Association).

BRAND POSITIONING AUDIT

A brand is a promise made and a promise kept. As we traverse time, the NSE wishes to align its value propositions and business processes with our brand promise to all our stakeholders. To keep us focused, we conducted a brand audit.

The brand audit tools applied include a work plan, *a* brand Audit implementation Matrix, in-depth Interviews (Internal and external stakeholders); Focus Groups (External stakeholders; potential issuers; employees, board members and Chief Executives and retail investors.

The results achieved are a summary of perceived associations, desired brand associations, brand relationships, image drivers, positive and negative. The brand audit report will be a useful agency liaison platform in our market positioning and messaging strategy.

COMPLIANCE & LEGAL

Our key role in market compliance and legal is to ensure and uphold compliance with the Laws of Kenya and the Rules and Regulations of the Capital Markets Authority and the Nairobi Stock Exchange by market participants. In addition, we provide legal guidance to market participants on market issues.

During the year, we reviewed the Information Memoranda of various companies which offered their shares to the public. These include the Kenya Electricity and Generation Company Limited (KENGEN), Scangroup Limited and Eveready Limited, the first Introduction in the history of the Exchange with the listing of Equity Bank Limited.

In addition, we reviewed the successful Employee Share Ownership Plan of Kenya Oil Limited, the bonus issues of Barclays Bank of Kenya and Express Limited and the rights issued by Diamond Trust Bank Limited. In the Fixed Income Securities Market, reviews of 22 Government of Kenya Treasury Bonds valued at Kshs. 87.50 billion and Corporate Bonds for Shelter Afrique Limited were conducted.

In readiness for the Automated Trading System, new ATS rules were drafted. To improve the efficiency of ensure compliance by market participants, implementation of an automated compliance system is our next plan of action.

To cope with the increased compliance workload occasioned by the significant increase in market players during the year, additional personnel have been recruited. So as to promote investor confidence, compliance will continuously apply practical and effective rules, guidelines and procedures.

CORPORATE SOCIAL RESPONSIBILITY

The NSE is a conscious and socially responsible citizen. Our attention, focus and commitment is on the triple bottom line – economic, environmental and social sustainability. During the year, we were engaged in the promotion of good corporate behaviour and disaster response when members of our community were in distress.

FIRE AWARD

Fire Award is an annual event organized by NSE in partnership with Capital Markets Authority (CMA) and Institute of Pubic Accountants of Kenya (ICPAK). Its main objective is to promote good Corporate Governance, Financial Reporting and Corporate Social Responsibility among Kenyan companies. Our strategic focus in this award is "to institutionalize and inspire integrity, transparency and confidence in corporate Kenya".

On October 6th 2006 at Panari Hotel, NSE and partners were joined by Hon. Minister for Finance, Amos Kimunya and over 500 guests to celebrate winners of excellence in financial reporting. As a custodian

of resource mobilization in Kenya, and through the award, the NSE is proud to spearhead economic and social development through the promotion of responsible and accountable corporate behaviour. The award stature has evolved to be a leading credibility icon in the market place.

DISASTER RESPONSE

Early last year, Kenyans woke up to the horror of a collapsed building on Ronald Ngala Street. Several lives were lost. The NSE responded to the urgent media appeal to provide meals for the rescue crew at the site of the disaster.

Shortly, the country was ravaged by famine. The NSE mobilized key stakeholders and donated food and cash to the famine relief initiative through the Kenya Red Cross and Save-a-Life Fund. The donation ceremony was held outside the nation centre on Thursday, 23 February 2006

However as we sympathised and responded to the disasters, we know that this is a short term measure. In the longer term, we need to establish sustainable solutions. In particular, to stem the recurrent challenges in our communities. In view of the above, The NSE launched a Christmas Tree Fund on 23 December 2006 as a foundation to usher in a new era of innovation and sustainable social development strategy.

Corporate Governance

Corporate governance can be defined as the system by which business corporations are directed and controlled. The corporate governance structure specifies the distribution of rights and responsibilities among different participants in the corporation, such as, the board, managers, shareholders and other stakeholders, and spells out the rules and procedures for making decisions on corporate affairs. By doing this, it also provides the structure through which the company objectives are set, and the means of attaining those objectives and monitoring performance.

Companies which practice good Corporate Governance benefit by broadening and deepening the sources of their capital because investors are willing to invest in, or lend to a firm with a good Corporate Governance record. A firm can assess the capital markets with the assurance that its request for debt or equity capital will be met by a variety of investors because investors are assured that the management of the firm will effectively utilize the funds provided in order to ensure the investors are adequately compensated for lending the firm funds.

Nairobi Stock Exchange (NSE) advocates for good corporate governance among its listed companies. All listed companies are required to adhere to Corporate Governance Guideline issued by the Capital Markets Authority in 2002. NSE is committed to the continuous development of good Corporate Governance among Kenyan companies through initiatives such as Fire Award which has attracted entrants from both listed and non-listed companies.

BOARD OF DIRECTORS

The policy-making body of the Exchange is the Board of 11 Directors who represent stockbrokers, listed companies, investors and the public sector. The execution and implementation of policy are vested in the Chief Executive, who is also a member of the Board of directors.

BOARD COMMITTEES

The NSE has nine (9) Board Committees aimed at supporting the full Board in performing its functions. The Board has the following committees:

Listing Committee

1. Mr. Jimnah Mbaru - *Chairman*
2. Mr. M.H.Da Gama Rose
3. Mr. James Wangunyu
4. Mr. Patrick Njerenga
5. Mr. Ndung'u Gathinji
6. Mr. Patrick Gakiavih
7. Ms. Esther Koimet
8. Mr. David Njoroge
9. Mr. Edward Odundo
10. Mr. Johnson Githiaka

Finance & Manpower Committee

1. Mr. David Njoroge - *Chairman*
2. Mr. James Wangunyu
3. Mr. Bob Karina
4. Mr. Patrick Gakiavih
5. Mr. Patrick Njerenga
6. Mr. John Kirimi
7. Mr. Andre Desimone
8. Mr. Michael Kariuki
9. Mr. Josephat Emurugat
10. Mr. Krishna Kumar
11. Rose Mambo

Audit Committee

1. Mr. Edward Odundo - *Chairman*
2. Mr. Stanley Ngaine
3. Mr. E. Kirongothi
4. Mr. Robert Kiragu
5. Mr. Kassim Bharadia
6. Chrysantus Macheso

Trading (ATS Implementation)

1. Mr. James Wangunyu - *Chairman*
2. Mr. Robert Kiragu
3. Mr. Patrick Gakiavih
4. Mr. King'ori Gathinji
5. Mr. Bob Karina
6. Mr. Kassim Bharadia
7. Mr. Mohammed Hassan
8. Mr. Krishna Kumar
9. Mr. James Murigu
10. Mr. Amish Gupta
11. Mr. Peter Thuo
12. Mr. Kibuga Kariithi
13. Mr. Andre Desimone
14. Mr. Michael Kariuki
15. Mr. Jos Konzolo
16. Mr. William Murungu
17. Mr. Tony De Castro
18. Mr. Stanley Ngaine
19. Mr. Edward Odundo
20. Cecilia Njoroge

ATS Workgroup

1. Mr. Bob Karina - Chairman
2. Mr. Stanley Ngaine
3. Mr. Peter Waiyaki (CDSC)
4. Mrs. Stella Kilonzo (CMA)
5. Mr. Zwelibanzi Ndlovu (consultant)
6. Mr. Amish Gupta
7. Mr. Edward Odundo
8. Mr. Mohammed Hassan
9. Mr. Andre Desimone
10. Rose Mambo

Demutualization Committee

1. Mr. Jimnah Mbaru - *Chairman*
2. Mr. James Wanguyu
3. Mr. Patrick Njerenga
4. Mr. Patrick Gakiavih
5. Mr. Edward Odundo
6. Mr. David Njoroge
7. Mr. Ndung'u Gathinji
8. Chief Executive,
   Uganda Securities Exchange
9. Chairman,
   Uganda Securities Exchange
10. Chief Executive,
    Dar es Salaam Stock Exchange
11. Chris Mwebesa

Business development & Public Education Committee

1. Mr. Patrick Njerenga - *Chairman*
2. Mr. James Murigu
3. Ms. Susan Kasinga
4. Mr. Andrew Mwangangi
5. Mr. William Murungu
6. Mr. Joseph Emurugat
7. Mr. Johnson Githiaka
8. Mr. Felix Okatch
9. Felistas Ndegwa

Strategy Committee

1. Mr. Ndung'u Gathinji - *Chairman*
2. Mr. Jimnah Mbaru
3. Mr. M.H. Da Gama Rose
4. Mr. Patrick Gakiavih
5. Mr. Edward Odundo
6. Mr. David Ndii
7. Mr. D. Munga
8. Mr. Wachira Maina
9. Donald Ouma

Disciplinary Committee

1. Mr. Johnson Githaka - *Chairman*
2. Mr. Bob karina
3. Ms. Pauline Nyamweya
4. Mr. Patrick Gakiavih
5. Mr. Edward Odundo
6. Rose Mambo

Corporate Information

BOARD OF DIRECTORS

Jimnah Mbaru, *Chairman*

Christopher Michael Mwebesa, *Chief Executive*

James Wangunyu

Patrick Njerenga

Mirabeau Humberto Da Gama-Rose

Patrick Gakiavih

David Njoroge

Esther Koimett

Edward Odundo

Jackson Johnson Githaka

COMPANY SECRETARY

Rose Mambo

P.O Box 43633- 00100

Nairobi.

REGISTERED OFFICE

Nation Centre, 1st Floor, Kimathi Street

P.O. Box 43633-00100

Nairobi

AUDITORS

Ernst & Young

Kenya Re Towers, Upper Hill, off Ragati Road

P.O. Box 44286-00100

Nairobi.

BANKERS

Kenya Commercial Bank

P.O. Box 48400 - 00100,

Nairobi.

LAWYERS

Hamilton Harrison & Mathews

P.O. Box 30333 – 00100

Nairobi.

Contacts of Authorized Members

Francis Drummond & Co. Limited Hughes Building, 2nd floor, P.O. Box 45465 NAIROBI. Tel: 318686/318690/318689 Fax. 223061 E-mail: info@francisdrummond.com Web:www.francisdrummond.com	**Ngenye Kariuki & Co. Ltd.** Corner House, 8th floor, P. O. Box 12185-00400 NAIROBI Tel. 224333/220052/220141 Fax. 217199/241825 E-mail: ngenyekari@wananchi.com	**Ashbhu Securities Ltd** Finance House, 13th Floor P.O.Box 41684-00100 NAIROBI Tel: 210178/212989 Fax: 210500 E-mail: ashbhu@ashbhu.com
Dyer & Blair Investment Bank Ltd Loita House,10th floor, P.O. Box 45396 NAIROBI Tel. 3240000/227803/4/5 Fax. 218633 E-mail: shares@dyerandblair.com Web: www.dyerandblair.com	**Suntra Investment Bank Ltd** Nation Centre,10th Floor, P.O. Box 74016-00200 NAIROBI Tel. 247530/223330/211846/247530 0724- 257024, 0733-222216 Fax. 224327 E-mail: info@suntra.co.ke Web: http://www.suntra.co.ke	**Crossfield Securities Ltd** IPS Building, 5th floor P.O. Box 34137-00100 NAIROBI Tel: 246036/245971 Fax: 245971 E-mail: crossfield@wananchi.com
Francis Thuo & Partners Ltd. International House, 12th Floor P. O. Box 46524 NAIROBI Tel. 226531/2/3 Fax. 228498 E-mail: ftbrokers@wananchi.com Web: www.ftbrokers.com	**Reliable Securities Ltd.** IPS Building, 6th 0Floor P. O. Box 50338- 00200 NAIROBI Tel. 241350/4/79 Fax. 241392 E-mail: info@reliablesecurities.co.ke	**Apexafrica Investment Bank Ltd** Rehani House, 4th Floor P.O. Box 43676- 00100 NAIROBI Tel: 242170/220517 Fax: 215554 E-mail: invest@apexafrica.com Web: www.apexafrica.com

Nyaga Stockbrokers Ltd. Nation Centre, 12th Floor, P.O. Box 41868 NAIROBI Tel. 315748/ 315628/9 Fax. 315630 E-mail: info@nyagastockbrokersltd.com	**CFC Financial Services – Stock broking Division** Corner House, Ground floor, P.O. Box 47198 – 00100 NAIROBI Tel: 221452/3 Fax. 218813 E-mail: cfcfs@cfcgroup.co.ke. Web: www.cfcbank.co.ke	**Faida Securities Ltd.** Windsor House, 1st floor, P. O. Box 45236-00100 NAIROBI Tel. 243811/2/3 Fax. 243814 E-mail: faidastocks@wananchi.com Web:www.faidastocks.com
Kestrel Capital (EA) Limited Hughes Building, 7th floor, P.O. Box 40005-00100, NAIROBI Tel. 251758/251893 Fax. 243264 E-mail: info@kestrelcapital.com Web: www.kestrelcapital.com	**Discount Securities Ltd.** International House, Mezzanine, P O Box 42489-00100, NAIROBI Tel. 219552/38 Fax. 230987 E-mail: discount@dsl.co.ke	**Solid Investment Securities Ltd.** Kimathi House, 1st Floor P.O. Box 63046-00200, NAIROBI Tel. 244272/9 Mobile: 0736-850516/0724-951703 Fax. 244280 E-mail: sisl@solidkenya.com Web: www.solidkenya.com
Sterling Securities Ltd Finance House, 11th Floor P.O. Box 45080- 00100, NAIROBI Tel. 213914/244077 Mobile: 0723153219/0734219146 Fax. 218261 E-mail: info@sterlingstocks.com Web: www.sterlingstocks.com	**African Alliance Kenya Securities.** Ground Floor, Kenya Re Towers, Upper Hill P.O. Box 27639 - 00506, NAIROBI Tel. 2735013/2735154/2735138 Fax. 2731162 E-mail: otienol@africanalliance.co.ke	**Standard Investment Bank Ltd** Hazina Towers, 17th floor, P. O. Box 13714- 00800, NAIROBI Tel. 220225/240296/227004 Fax. 240297 E-mail: info@standardstocks.com Web: www.standardstocks.com

Directors' Report

The directors submit their report and the audited financial statements for the year ended 31 December 2006 which show the state of the company's affairs.

1. COUNTRY OF INCORPORATION AND REGISTERED OFFICE

The company is limited by guarantee and incorporated in Kenya under the Companies Act. The address of its registered office is:

Nairobi Stock Exchange Limited
Nation Centre
PO Box 43633-00100
NAIROBI

2. PRINCIPAL ACTIVITIES

The company is the sole stock exchange, licensed by the Capital Markets Authority to provide a facility for the issue, purchase and sale of securities in Kenya. Nairobi Stock Exchange as a self-regulatory organization is involved in the development and operation of an efficient securities market.

3. RESULTS

The surplus after tax for the year is Shs. 100,653,000 (2005: Shs. 25,698,000).

4. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The company's principal activities expose it to a variety of financial risks, including credit risk and the effects of changes in debt and equity market prices, foreign currency exchange rates and interest rates. The company's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance within the limited options available in Kenya to hedge against such risks.

5. DIRECTORS

The directors who held office during the year and to the date of this report were:

J.M.Mbaru	-	(Chairman)	
J.Wangunyu	-	(1st Vice Chairman)	(Elected 13th April 2006)
P.Njerenga	-	(2nd Vice Chairman)	(Elected 13th April 2006)
C.Mwebesa	-	(Chief Executive)	
M.H.da Gama Rose			
N.Gathinji			
Esther Koimett			(Elected 13th April 2006)
David Njoroge			(Elected 13th April 2006)
P. Gakiavih			
E. Odundo			
J.Githaka			

Mr. P.Gakiavih, Mr. N. Gathinji and Mr. M.H. da Gama Rose retire by rotation and being eligible offer themselves for re-election. Mr. J.J. Githaka retires by rotation and does not offer himself for re-election.

6. SECRETARY

Rose Mambo
P O Box 43633-00100
Nairobi

7. AUDITORS

Ernst & Young have expressed their willingness to continue in office in accordance with Section 159(2) of the Kenyan Companies Act (Cap 486).

By order of the Board

SECRETARY

22 February 2007
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Statement of Directors' Responsibilities

The Companies Act requires the directors to prepare financial statements for each financial year, which give a true and fair view of the state of affairs of the company as at the end of the financial year and of its operating results for that year. It also requires the directors to ensure that the company keeps proper accounting records which disclose, with reasonable accuracy, the financial position of the company. They are also responsible for safeguarding the assets of the company.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the company and of its operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company will not remain a going concern for at least the next twelve months from the date of this statement.

………………………………..
Director

………………………………..
Director

22 February 2007
………………………………..
Date

Report of The Independent Auditors

We have audited the financial statements set out on pages 31 to 50, for the year ended 31 December 2006, and have obtained all information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit.

RESPECTIVE RESPONSIBILITIES OF THE DIRECTORS AND THE INDEPENDENT AUDITORS

As stated on page 29, the directors are responsible for the preparation of financial statements, which give a true and fair view of the state of the affairs of the company and of its operating results. Our responsibility is to express an independent opinion on the financial statements based on our audit and to report our opinion to the members.

BASIS OF OPINION

We conducted our audit in accordance with International Standards on Auditing. Those standards require that we plan and perform the audit to obtain reasonable assurance that the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. It also includes assessing the accounting principles used and significant estimates made by the directors, as well as evaluating the overall financial statements presentation. We believe that our audit provides a reasonable basis for our opinion.

OPINION

In our opinion, proper books of account have been kept and the financial statements, which are in agreement therewith, give a true and fair view of the state of the financial affairs of the company at 31 December 2006 and of its surplus and cash flows for the year then ended and comply with International Financial Reporting Standards and the Companies Act (Cap 486) of the laws of Kenya.

Without qualifying our report, we draw attention to note 8 to the financial statements relating to the company's share of profit, for the year 2006, in the associate company which is based on unaudited financial statements.

Ernst & Young

Nairobi

22 February 2007
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Income and Expenditure Account

For the Year Ended 31 December 2006

	Note	2006 Shs'000	2005 Shs'000
Operating income	2	294,557	146,270
Administrative expenses		(167,911)	(104,613)
Gross operating surplus		126,646	41,657
Other income	3	857	38
Operating surplus	4	127,503	41,695
Interest income		1,731	1,995
Surplus before tax		129,234	43,690
Share of profit/(loss) in associate company	8	11,359	(2,336)
		140,593	41,354
Taxation	5	(39,940)	(15,656)
Net surplus for the year		100,653	25,698

Balance Sheet

As at 31 December 2006

	Note	2006 Shs'000	2005 Shs'000
ASSETS			
Non Current Assets:			
Equipment	6	32,934	25,711
Intangible assets	7	36,345	485
Investment in associate	8	17,102	5,743
		86,381	31,939
Current Assets:			
Trade and other receivables	9	67,045	27,891
Deposit for Automated Trading System project	10	-	19,188
Receivable from CDSC Limited investors	11	2,500	2,500
Government securities	12	54,393	-
Bank and cash balances	13	21,560	25,649
		145,498	75,228
Investor Compensation Fund Investment	14	-	8,898
Investor Compensation Fund		-	(8,898)
		-	-
TOTAL ASSETS		**231,879**	**107,167**
MEMBERS' FUNDS AND LIABILITIES			
Members' Funds and Reserves:			
Members' fund	15	19,640	19,640
Accumulated surplus		136,280	35,627
		155,920	55,267
Non Current Liabilities:			
Deferred tax	16	4,164	184
Current Liabilities:			
Annual listing fees received in advance	17	6,531	6,953
Trade and other payables	18	42,512	36,297
Provision for liabilities and charges	19	920	734
Tax payable		21,832	7,732
		71,795	51,716
TOTAL MEMBERS' FUNDS AND LIABILITIES		**231,879**	**107,167**

Statement of Changes in Equity

For the Year Ended 31 December 2006

	Note	Members' fund Shs'000	Accumulated surplus Shs'000	Total Shs'000
At 1 January 2005		19,640	21,850	41,490
Prior year adjustment	20	-	(11,921)	(11,921)
As restated		19,640	9,929	29,569
Net surplus for the year		-	25,698	25,698
At 31 December 2005		19,640	35,627	55,267
At 1 January 2006		19,640	49,884	69,524
Prior year adjustment	20	-	(14,257)	(14,257)
As restated		19,640	35,627	55,267
Net surplus for the year		-	100,653	100,653
At 31 December 2006		19,640	136,280	155,920

Cash Flow Statement

For the Year Ended 31 December 2006

	Note	2006 Shs'000	2005 Shs'000
Cash flows from operating activities			
Cash generated from operations	21	124,597	36,245
Tax paid		(21,860)	(8,489)
Net cash flows generated from operating activities		102,737	27,756
Cash flows from investing activities			
Purchase of equipment	6	(15,744)	(22,582)
Purchase of computer software	7	(38,646)	-
Receivables from CDSC Limited investors		-	3,997
Purchase of Government securities	12	(54,393)	-
Interest received		1,731	1,995
Proceeds from redemption of marketable securities		-	5,000
Proceeds from disposal of equipment		226	389
Net cash used in investing activities		(106,826)	(11,201)
(Decrease)/increase in cash and cash equivalents		(4,089)	16,555
Movement in cash and cash equivalents			
At start of year		25,649	9,094
(Decrease)/increase		(4,089)	16,555
At end of year	13	21,560	25,649

1. ACCOUNTING POLICIES

The principal accounting policies adopted in the preparation of these financial statements are set out below:

a) Basis of preparation

The financial statements are prepared in accordance with and comply with International Financial Reporting Standards (IFRS). They are prepared under the historical cost convention, as modified by the carrying value of certain investments at fair value.

b) Changes in accounting policies

The accounting policies adopted are consistent with those of the previous year except, during the year, that the company adopted International Accounting Standard (IAS) No. 28 for the first time. As a result, the share of the company's profit/(loss) in the associate company have been taken into account. Prior year adjustment has been passed to account for the associate's results for the previous years.

c) Significant accounting judgments and estimates

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the company's accounting policies. The areas involving a higher degree of judgment or complexity, or where assumptions and estimates are significant to the financial statements, are as follows:

i) Equipment and intangible assets

Critical estimates are made by the directors in determining depreciation and amortisation rates for equipment and intangible assets. The rates used are set out in the accounting policy (f) and (g) below.

ii) Critical judgement in applying the entity's accounting policies

In the process of applying the company's accounting policies, management has made judgements in determining whether assets are impaired.

1. ACCOUNTING POLICIES (CONTINUED)

d) Revenue recognition

Initial listing income is recognized in the year in which the company makes the floatation.

Additional listing income is recognized during the year in which the issuing company makes announcement of the bonus/rights issues.

Transaction levy income is based on the percentage of the value of shares traded and is recognised on the dates of the transactions.

Annual listing fee is computed on the basis of the daily weighted average capitalisation value of the listed securities for 11 months period of between 1 January – 30 November.

e) Translation of foreign currencies

Transactions in foreign currencies during the year are converted into Kenya Shillings at rates ruling at the transaction dates. Assets and liabilities at the balance sheet date that are expressed in foreign currencies are translated into Kenya Shillings at rates ruling at that date. The resulting differences from conversion and translation are dealt with in the income statement in the year in which they arise.

f) Equipment

All equipment is stated at historical cost less depreciation and impairment cost.

Depreciation is calculated on the straight line basis to write down the cost of each asset to its residual value over its estimated useful life as follows:

Motor vehicles	4 years
Furniture, fittings and partitions	8 years
Office equipment	4 years
Computer equipment	4 years

Gains and losses on disposal of equipment are determined by reference to their carrying amounts and are taken into account in determining operating surplus.

1. ACCOUNTING POLICIES (CONTINUED)

g) Intangible assets

Intangible assets represent computer software which is stated at cost less amortisation. Amortisation is calculated to write-off software on a straight-line basis over the estimated useful life of 4 – 5years.

h) Trade receivables

Trade receivables are carried at original invoiced amount less an estimate made for doubtful receivables based on a review of all outstanding amounts at year end. Bad debts are written off in the year in which they are identified.

i) Investments

i) Investments in associate

The company's investment in its associate is accounted for under the equity method of accounting. An associate is an entity in which the company has significant influence and which is neither a subsidiary nor a joint venture.

Under the equity method, the investment in the associate is carried in the balance sheet at cost plus post-acquisition changes in the company's share of net assets of the associate.

After application of the equity method, the company determines whether it is necessary to recognise any additional impairment loss with respect to the company's net investment in the associate. The income statement reflects the share of the results of operations of the associate. Where there has been a change recognised directly in the equity of the associate, the company recognises its share of any changes and discloses this, when applicable, in the statement of changes in equity.

ii) Other investments

Investment securities with fixed maturity, where management has both the intent and the ability to hold to maturity are classified as held to maturity, and are carried at amortised costs using the effective yield method, less any provision for impairment.

All purchases and sales of investments are recognised on the transaction date, which is the date the company commits to purchase or sell the asset. Cost of purchase includes transaction costs. Available-for-sale investments are subsequently carried at fair value, whilst originated loans are carried at amortised cost using the effective yield method.

1. ACCOUNTING POLICIES (CONTINUED)

j) Employee entitlements

Employee entitlements to annual leave are recognised when they accrue to employees. A provision is made for the estimated liability for annual leave as a result of services rendered by employees up to the balance sheet date.

k) Taxation

Current taxation is provided for on the basis of the results for the year as shown in the financial statements, adjusted in accordance with tax legislation. Deferred tax is provided, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Tax rates enacted or substantively enacted at the balance sheet date are used to determine deferred tax. Deferred tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised.

l) Retirement benefit obligations

The company operates a defined contribution provident scheme for all its employees. The scheme is administered by British American Insurance Company (Kenya) Limited and is funded from contributions from both the company and employees. The company's contributions to the defined contribution provident scheme are charged to the income statement in the year to which they relate.

The company also contributes to a statutory contribution pension scheme, the National Social Security Fund (NSSF). The company's obligations under the scheme are limited to specific contributions legislated from time to time and are currently limited to a maximum of Shs 200 per month per employee. The company's contributions are charged to the income statement in the year in which they relate.

m) Impairment of assets

The company assesses, at each reporting date, whether there is an indication that an asset may be impaired. If such indication exists, the company's makes an estimate of the asset's recoverable amount. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. Impairment losses are recognized in the income statement

	2006 Shs'000	2005 Shs'000
2. OPERATING INCOME		
Transaction levy	228,443	88,697
Annual listing fees	51,018	47,934
Initial listing fees	14,700	8,152
Additional listing fees	75	748
Other income	321	739
	294,557	146,270
3. OTHER INCOME		
Miscellaneous income	42	38
Exchange gain	815	-
	857	38
4. OPERATING SURPLUS		
The following items have been charged in arriving at operating surplus:-		
Depreciation on equipments (Note 6)	8,503	4,803
Amortisation on intangible assets (Note 7)	2,786	123
Staff costs (excluding pension)	52,559	39,775
Contribution to pension scheme and gratuity	5,773	4,399
Auditors' remuneration (inclusive of VAT)	800	650
Directors' emoluments: -		
Non- executive	13,929	4,486
Executive	7,805	7,234
And after crediting:-		
Exchange gain	815	-

5. TAXATION

	2006 Shs'000	2005 Shs'000
Current tax	35,960	12,903
Deferred tax (Note 16)	3,980	2,753
	39,940	15,656

The tax on the company's surplus before tax differs from the theoretical amount that would arise using the basic tax rate as follows:

	2006 Shs'000	2005 Shs'000
Surplus before tax	129,234	43,690
Tax calculated at a tax rate of 30%	38,770	13,107
Tax effect of:		
Tax effects on items not deducted for tax	3,963	2,369
Tax effect on items deducted for tax	6,773	2,573
Originating and reversing temporary differences	3,980	2,753
Tax charge	39,940	15,656

6. EQUIPMENT

(a) Year ended 31 December 2006

	Motor Vehicles Shs'000	Furniture & Fittings Shs'000	*Office* Equipment Shs'000	Computer Equipment Shs'000	Total Shs'000
Cost:					
At start of year	7,740	26,297	9,557	32,868	76,462
Disposals	-	(21,370)	-	(3,644)	(25,014)
Additions	-	6,119	872	8,753	15,744
At end of year	7,740	11,046	10,429	37,977	67,192
Depreciation:					
At start of year	3,079	24,666	6,349	16,657	50,751
On disposal	-	(21,370)	-	(3,626)	(24,996)
Charge for the year	1,434	481	939	5,649	8,503
At end of year	4,513	3,777	7,288	18,680	34,258
Net book value:					
At 31 December 2006	**3,227**	**7,269**	**3,141**	**19,297**	**32,934**

No depreciation has been charged in arriving at the results for the year in respect of certain fully depreciated equipment with a cost of Shs.25,476,225(2005 - Shs.45,679,919) which are still in use. If depreciation had been charged during the year on the cost of these assets at normal rates, it would have amounted to Shs.6,019,563 (2005 - Shs.8,461,769).

6. EQUIPMENT (CONTINUED)

(b) Year ended 31 December 2005

	Motor Vehicles Shs'000	Furniture & Fittings Shs'000	Office Equipment Shs'000	Computer Equipment Shs'000	Total Shs'000
Cost:					
At start of year	2,003	26,098	5,959	20,555	54,615
Disposals	-	(9)	-	(380)	(389)
Additions	5,737	208	3,598	12,693	22,236
At end of year	7,740	26,297	9,557	32,868	76,462
Depreciation:					
At start of year	2,003	24,362	5,900	14,063	46,328
On disposal	-	-	-	(380)	(380)
Charge for the year	1,076	304	449	2,974	4,803
At end of year	3,079	24,666	6,349	16,657	50,751
Net book value:					
At 31 December 2005	4,661	1,631	3,208	16,211	25,711

7. INTANGIBLE ASSETS

Computer software at cost	ATS Shs'000	Other software Shs'000	Total Shs'000
Cost:			
As at 1 January	-	4,712	4,712
Additions	36,374	2,272	38,646
As at 31 December	36,374	6,984	43,358
Amortisation:			
As at 1 January	-	4,227	4,227
During the year	2,425	361	2,786
As at 31 December	2,425	4,588	7,013
Net book value:			
As at 31 December 2006	**33,949**	**2,396**	**36,345**
AS at 31 December 2005	**-**	**485**	**485**

The Exchange changed from the Open Out-cry method of trading to an Automated Trading System (ATS) from 11 September 2006 at a total cost of Shs 59,465,422; Consisting of Shs 36,374,000 software and Shs 23,091,422 hardware. The automated system allows for a more efficient and transparent trading process, resulting in increased trading volumes and reduction in post-trade back-office operations.

8. INVESTMENT IN ASSOCIATE

	2006 Shs'000	2005 Shs'000
At start of the year	5,743	20,000
Prior year adjustment (note 20)	-	(11,921)
As restated	5,743	8,079
Share of profits/(loss) for the year	11,359	(2,336)
	17,102	5,743

8. INVESTMENT IN ASSOCIATE (CONTINUED)

The Nairobi Stock Exchange (NSE) holds 20% shares in the Central Depository and Settlement Corporation (CDSC) Limited called up shares. The share of the profits for the year 2006 is based on unaudited financial statements

The CDSC Limited, which was incorporated in 1999, has been fully charged with the responsibility of carrying out clearance and settlement, depository and registry of shares and other security instruments with effect from 1 March 2005.

9. TRADE AND OTHER RECEIVABLES

	2006 Shs'000	2005 Shs'000
Brokers	47,434	13,458
Receivables from related companies (Note 23(iv))	6,217	10,117
Prepayments and deposits	11,359	2,285
Other receivables	2,035	2,031
	67,045	27,891

10. DEPOSIT FOR AUTOMATED TRADING SYSTEM PROJECT

This represented a deposit that had been paid to the company that was developing the software for Automated Trading System. This project has since been completed.

11. RECEIVABLE FROM CDSC LIMITED INVESTORS

	2006 Shs'000	2005 Shs'000
Dar-es-Salaam Stock Exchange	2,500	2,500

This represents amount paid by the Exchange on behalf of Dar-es-Salaam Stock Exchange for their proportionate called up shareholding in CDSC Limited.

12. GOVERNMENT SECURITIES

This relates to investment in treasury bills, maturing within 91 days after the date of acquisition.

13. CASH AND CASH EQUIVALENTS

Cash and cash equivalents included in the cash flow statement comprise the following balance sheet amounts:-

	2006 Shs'000	2005 Shs'000
Cash at bank and in hand	1,020	15,230
Bank deposits	20,540	10,419
	21,560	25,649

14. INVESTOR COMPENSATION FUND

Investor Compensation Fund (ICF) represent amounts set aside to compensate investors for pecuniary losses suffered due to the failure of a stockbroker, dealer or investment bank carrying out stock-broking business or dealing operations, to meet its contractual obligations. The fund is derived from a levy charged at 0.01% of the value of securities traded at the Exchange and penalties, which are charged to stockbrokers for failure to comply with the delivery and settlement rules.

The movement in the compensation fund is as follows:

	2006 Shs'000	2005 Shs'000
At start of year	8,898	20,167
Movement during the year:		
Levy from brokers	-	425
Net loss from investments	-	(50)
CDSC Guarantee Fund	(8,898)	(11,644)
Net movement	(8,898)	(11,269)
At end of year	-	8,898

The ICF funds were transferred to the CDSC Guarantee Fund during the year.

15. MEMBERS' FUND

The company is limited by guarantee.

	2006 Shs'000	2005 Shs'000
Members funds	19,640	19,640

16. DEFERRED TAX

Deferred tax is calculated on all temporary differences under the liability method using a principal tax rate of 30%. The movement on the deferred tax account is as follows:

	2006 Shs'000	2005 Shs'000
At start of the year	(184)	2,569
Income statement charge (Note 5)	(3,980)	(2,753)
At end of year	(4,164)	(184)

	1.1.2006 Shs'000	Charged to P/L Shs'000	31.12.2006 Shs'000
Deferred tax asset/(liability)			
Provisions	142	(643)	(501)
Accelerated tax depreciation	(326)	(3,337)	(3,663)
Net deferred tax liability	(184)	(3,980)	(4,164)

17. ANNUAL LISTING FEES RECEIVED IN ADVANCE

The annual listing fees are billed in advance and accrued over the year for accounting purposes.

18 TRADE AND OTHER PAYABLES

	2006 Shs '000	2005 Shs '000
Capital Markets Authority	687	595
Accrued expenses	34,935	30,372
Investor Compensation Fund	58	746
Other payables	6,832	4,584
	42,512	36,297

19. PROVISION FOR LIABILITIES AND CHARGES

	2006 Shs '000	2005 Shs '000
At start of the year	734	1,208
Increase/(decrease) in provisions	186	(474)
At end of year	920	734

The provision relates to annual leave earned but not yet taken by staff. The balance at 31 December 2006 is inclusive of additional provision during the year.

20. PRIOR YEAR ADJUSTMENTS

These relate to adjustments on investment in associated company, CDSC Limited, on adoption of International Accounting Standard (IAS) No. 28 (note 8).

21. CASH GENERATED FROM OPERATIONS

Reconciliation of surplus before tax to cash generated from operations:

	2006 Shs'000	2005 Shs'000
Surplus before tax	140,593	41,354
Adjustments for:		
Depreciation (Note 6)	8,503	4,803
Amortisation (Note 7)	2,786	123
Gain on sale of equipment	(208)	(380)
Fair value (gain)/loss in investment in associate (Note 8)	(11,359)	2,336
Interest income	(1,731)	(1,995)
Changes in working capital:		
Trade and other receivables	(19,966)	(7,279)
Trade and other payables	5,793	(2,243)
Provisions for liabilities and charges	186	(474)
Cash generated from operations	124,597	36,245

22. COMMITMENTS

i) Capital commitments

At the balance sheet date, the company had the following capital commitments:

Authorised and contracted	2006 Shs'000	2005 Shs'000
Investments in Automated Trading System (ATS)	-	21,979

ii) Other committments

Operating lease commitments due:-		
Falling within 1 year	13,510	10,695
Falling after 1 year but within 5 years	13,512	10,695
Falling after 5 years	576	-
	27,598	21,390

Operating lease commitments relate to the lease rentals payable for the offices where the Exchange is situated.

23. RELATED PARTY TRANSACTIONS

As at 31 December 2006, the company had 14 (2005:15) member stockbrokers and 7 (2005:6) licensed investment banks. The following transactions were carried out with related parties:-

i) Loan to the executive director

	2006 Shs'000	2005 Shs'000
At start of year	-	969
Loan repayment received	-	(969)
At end of year	-	-

The loan that had been advanced to the former executive director was charged interest at the rate of 8.23% per annum.

	2006 Shs'000	2005 Shs'000
ii) Directors' emoluments		
Non- executive	13,929	4,486
As executives	7,805	7,284
iii) Key management compensation		
Salaries and other short-term employment benefits	27,691	20,851
Post employment benefits	1,482	1,082

iv) Outstanding balances arising from transactions with related parties

	2006 Shs'00	2005 Shs'000
Net receivables from AKS Nominees (short term)	82	2,831
Net receivable from CDSC Limited	6,135	7,286
	6,217	10,117

23. RELATED PARTY TRANSACTIONS (CONTINUED)

v) Transactions with brokers

The company charges investors a transactions levy of 0.12% (2005: 0.12%), of the value of securities traded (turnover) at the Exchange. During the year, the total turnover was Shs 190,369,159,166 (2005: Shs 73,212,580,272) resulting in a transaction levy of Shs 228,442,991 (2005: Shs 88,697,233).

24. CONTINGENT LIABILITIES

At 31 December 2006, the company had no contingent liabilities in respect of bank and other guarantees and other matters arising in the ordinary course of business. The company is not involved in any litigation that may lead to any significant loss.

25. FAIR VALUES OF FINANCIAL ASSETS

In the opinion of the directors, the fair values of the financial assets of the company approximate their carrying amounts due to the generally short periods to contractual repricing or maturity dates.

Weighted average effective interest rates at 31 December 2006 were as follows:

	2006 %	2005 %
Treasury bills	5.84	-
Short term deposit	4.10	4.87

26. COMPARATIVES

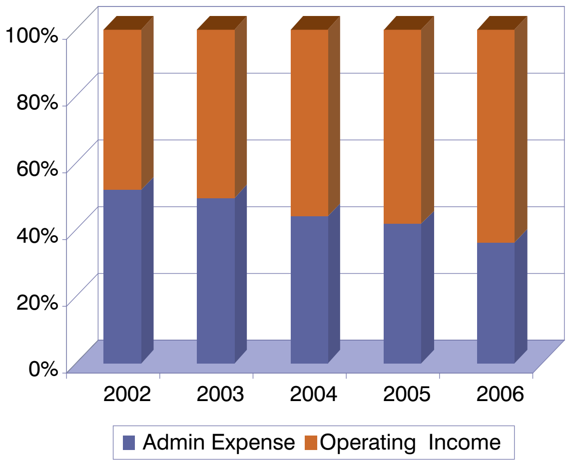
Where necessary, comparative figures have been adjusted to conform with changes in the presentation in the current year. In particular, comparative figures have been adjusted to take into account the effects of prior year adjustments (note 20).

27. CURRENCY

These financial statements are presented in Kenya Shillings (Shs) and are rounded to the nearest Shs 1,000.

Highlight of Financial Performance

OPERATING INCOME VIS-A-VIS EXPENSES



MAIN COMPONENTS OF OPERATING INCOME (%)

TOTAL ASSETS (KSHS '000)

5-YEAR SUMMARY ON FINANCIAL PERFORMANCE

	2006	2005	2004	2003	2002
Operating results (Shs'000)					
Operating income	295,757	146,270	113,675	85,001	62,780
Administrative expenses	(167,911)	(104,613)	(89,226)	(83,258)	(67,844)
Gross operating surplus /(deficit)	127,846	41,657	24,449	1,743	(5,064)
Other income	2,588	2,033	5,881	1,801	7,047
Operating deficit/surplus	130,434	43,690	30,330	3,544	1,983
Exceptional item			(16,030)		
Share of profit(loss) in associate	11,359	(2,336)			
Surplus/deficit before tax	141,793	41,354	14,300	3,544	1,983
Taxation	(40,300)	(15,656)	(4,279)	(2,120)	(1,340)
Net surplus/(deficit)	101,493	25,698	10,021	1,424	643
Total assets	233,079	107,167	91,509	71,174	48,307
Members Funds	156,760	55,267	41,490	31,469	30,045

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